Phedikhola Hydropower Company Pvt. Ltd.

VERDICT: NOT INVESTABLE ON THIS EVIDENCE

There is no tradable security today, the project is years behind schedule, and the audited accounts capture only ~4% of total project cost. Wait for the IPO prospectus.

1. What the audited accounts show

Clean, unqualified audit opinion from G. Paudyal & Associates, with no key audit matters. That is genuine - but it audits a company that has not started operating.

Item	Amount (NPR)
Sales / revenue	NIL
Other income (bank interest)	855.64
Net loss for the year	(121,378.39)
Accumulated loss	(433,274.17)
Project WIP (capitalised)	39,963,654.30
Cash and bank balance	613,788.76
Total assets	46,016,478.08
Paid-up capital (320,000 sh @ 100)	32,000,000.00
Borrowings	NIL

2. The gap between this audit and the real project

	Per audit (Jul 2023)	Actual project
Amount spent	NPR 40 million	cost NPR 980 million
Share of total cost	about 4%	96% still to spend
Debt drawn	NIL	NPR 500m from RBB
Equity in place	NPR 32 million	needs NPR 480 million

This audit is three years old and covers barely 4% of the project. It cannot support an investment decision on its own.

3. The project itself (external research)

- 4.3 MW run-of-river, Salpasilicho, Bhojpur district. Annual generation 26.045 GWh.
- PPA signed with NEA: NPR 8.40/kWh dry season, NPR 4.80/kWh wet, 3% escalation x8. This is the single strongest asset the company holds.
- Funding: 49% equity (NPR 480m) / 51% debt (NPR 500m, Rastriya Banijya Bank).
- Company projections: IRR 14.50%, NPV NPR 230.9m, benefit-cost ratio 1.30.
- Credit rating CARE-NP B+ (speculative grade), constrained by project implementation risk, partial funding risk, power evacuation risk and hydrology risk.
- IPO announced: NPR 175 million (25% of NPR 700m authorised capital).

4. Red flag: the schedule has already slipped

Target commissioning was end of Poush 2082 (mid-January 2026) / end FY 2025-26, on a 24-month construction plan. As of August 2026 the company's own website still describes tender document preparation as underway and access road construction as ongoing. Those are early-stage activities. If the site is current, the project is materially behind schedule.

5. Management history

The promoters are experienced and real - but their track record shows the same pattern of delay.

Person	Role and background
Prakash Chandra Dulal	Managing Director. Masters in Management, 15 years in energy.
	MD of Aarati Power (Upper Irkhuwa Khola 14.5 MW, Bhojpur).
	Joint General Secretary, IPPAN. Director at Nilganga Hydropower
	and Suti Khola Hydropower.
Chandra Prasad Bastola	Executive Chairman. 10+ years in banks and financial institutions.
Kabita Adhikari	Director.

MATERIAL FINDING: Aarati Power's Upper Irkhuwa Khola project - the Managing Director's flagship, also in Bhojpur - targeted commercial operation on 5 March 2024 and was only about 60% complete at that date. It has still not reached commercial operation. The delay at Phedikhola is therefore consistent with a pattern, not a one-off.

6. Governance concerns inside the audit

Trade and other advances of NPR 5.39m are 88% of current assets, against only NPR 613,788 of cash - roughly 8x the cash balance, advanced to individuals:

Advance to	Amount (NPR)
Ramesh Prasad Dulal	3,100,000
Bamdev Joshi	780,000
Unit Engineering Consultancy Pvt. Ltd.	700,000
Prakash Chandra Dulal (Managing Director)	389,808

The Managing Director is himself a named advance recipient. The accounts also carry NPR 9,700 of fines and penalties and NPR 55,000 of membership fees disallowed for tax.

7. Can you even buy it?

No. PKHCL appears on Merolagani with market price, paid-up capital, listed shares, EPS and book value all showing 0.00, and the symbol does not exist in the NEPSE price database. There is no tradable security at present.

8. Balance of the argument

Against investing	In favour
No tradable security today	PPA signed at workable tariffs
B+ speculative credit rating	Generation licence issued
COD missed; early-stage work ongoing	Debt committed by RBB
Zero revenue; 96% of spend ahead	Clean audit opinion, no misstatement
Related-party advances 8x cash	Experienced, IPPAN-connected promoters
MD's other project also badly delayed	

9. Recommendation

- Do not commit on the strength of this 2023 audit.
- Wait for the IPO prospectus: it brings current audited accounts, disclosed construction progress and a regulated entry price at NPR 100 par.
- Before committing, demand: FY 2081/82 audited accounts, actual percentage of construction completed, confirmation the RBB loan has drawn down, and a revised COD.

Limitation: this assessment relies on public sources and the company's own website, which may itself be out of date. The decisive facts - true construction progress and a revised COD - could not be verified independently, and they determine whether this is a delayed but viable project or a stalled one.